

r/IGCSE Resources

Topical Notes for Cambridge IGCSE Economics (0455)

**Authored by
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1st edition, for examination until 2026



Economics | 0455

Resource Guide

▼ Abbreviations: (Not to be used in the examination)

- FOP → Factors of Production
- CELL → Capital, Enterprise, Land, Labour
- Govt → Government
- PPC → Production Possibility Curve
- VV → Vice Versa
- Qd → Quantity Demanded
- PED → Price Elasticity of Demand
- PES → Price Elasticity of Supply
- D&S → Demand and Supply
- MES → Mixed Economic System
- OP → Opportunity Cost
- G&S → Goods and Services
- DY → Disposable Income
- IR → Interest Rates
- LF → Labour Force
- COP → Costs of Production
- BOP → Balance of Payments
- LEDC → Low Economic Developed Country

Section I

→ 1. Economic Problem

- Basic economic problem → How to best allocate scarce resources to satisfy unlimited needs and wants
- Economic Agents → Firms, Individuals, Government
- Needs → Essential for survival
- Wants → Not necessary but demanded by economic agents to fulfill desires
- Economic Good → Limited in supply
- Free Good → Unlimited in supply

→ 2. Factors of Production

- Land → Natural resources (Reward : Rent)
- Labour → Human resources (Reward : Wages/Salaries)
- Capital → Manufactured resources (Reward : Interest)
- Enterprise → Skills a business person requires (Reward : Profit)
- Mobility
 - Geographical → Place y ⇒ Place x (based on family ties, costs of living)
 - Occupational → Job y ⇒ Job x (based on skills)
- Quantity & Quality of FOP
 - Costs
 - Government policies
 - New tech
 - Migration of labour
 - Improvement of education etc (skills)
 - Unfavourable weather conditions

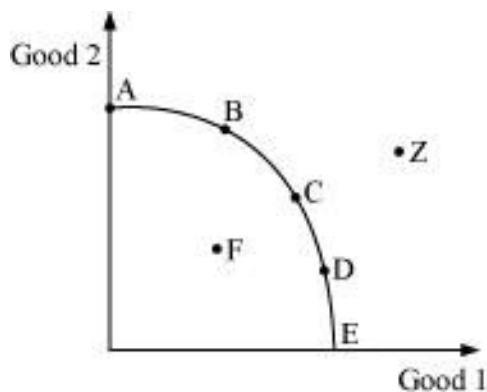
→ 3. Opportunity Cost

- Opportunity Cost → Is the cost of the next best opportunity forgone when making a decision
- Influence
 - Limited incomes

- Specialisation
- Competing business opportunities
- Government Spending

→ 4. Production Possibility Curve

- PPC → Represents the maximum combination of goods and services which can be produced in an economy



F → Within the possibility
Z - Currently unattainable

- Movement → Opp cost
- Shift → Increase in quality or quantity of FOP

Section II

→ 5. Micro & Macro

- Microeconomics → Study of particular markets and sections of the economy (rather than the econ as a whole)
 - Decision Makers → Firms and Individuals
- Macroeconomics → Is the study of economic behaviour and decision making in the whole economy
 - Decision Makers → The government

→ 6. Allocation of Resources

- Market system → Method of allocating scarce resources
- Key Decisions
 - What to produce

through the market forces of
supply and demand

- How to produce
- For whom to produce

- Market equilibrium → Exists when the demand for a product matches the supply <no shortage or surplus>
- Market disequilibrium → Exists when prices are too high (affecting demand) or prices are too low (affecting supply)
- Price mechanism → Refers to the system of relying on the market forces of D&S to allocate resources.
 - No Government interference
 - Allocation based on price (financial incentives)
 - Opportunities may be created

→ 7. Demand

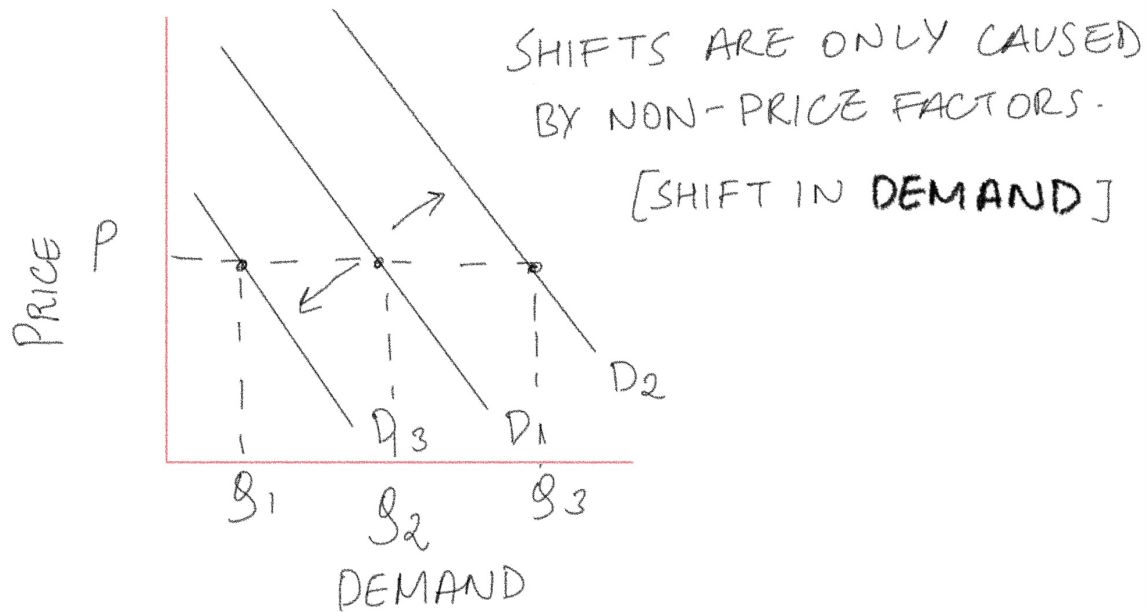
- Demand → Refers to the willingness and ability of customers to pay a given price to buy a good or service
- Quantity Demanded (Q_d) → The amount of good or service demanded at each price level



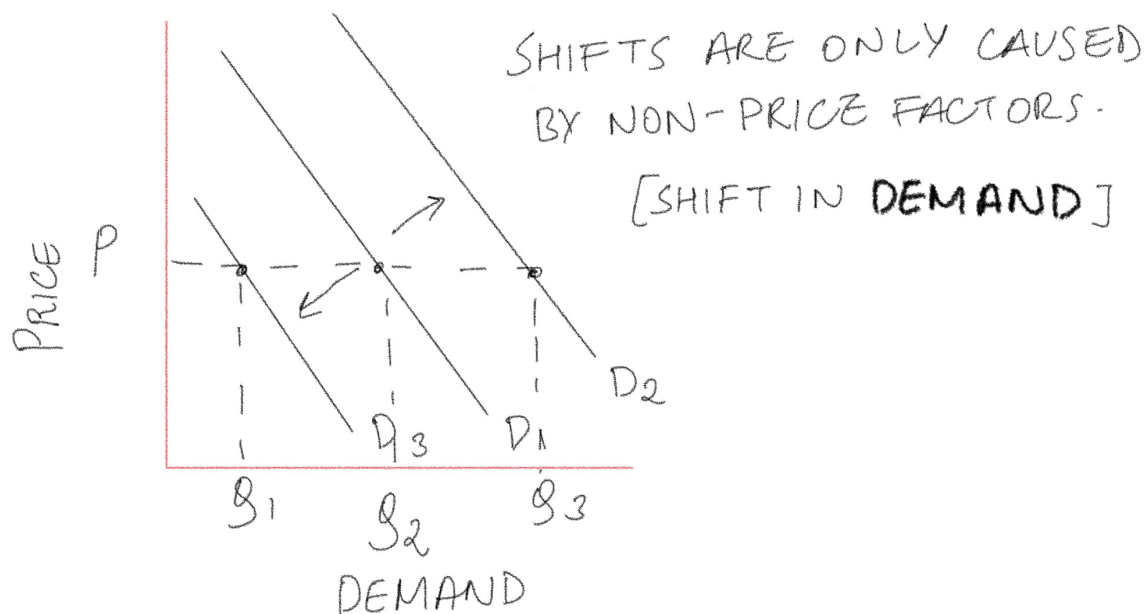
Determinants of Demand (MISC)

- M : Marketing
- I : Income
- S : Substitutes → Goods that can be used instead of each other
- C : Complements → Jointly demanded (Balls and Bats)

<Also remember : Confidence, Government Policies, Weather>



Extensions and Contractions can only occur due to changes in price.
While speaking of changes based on price always say "contraction in / extension in" instead of increase, as that may refer to shifts.



- Law of Demand : Demand is inversely proportional to price

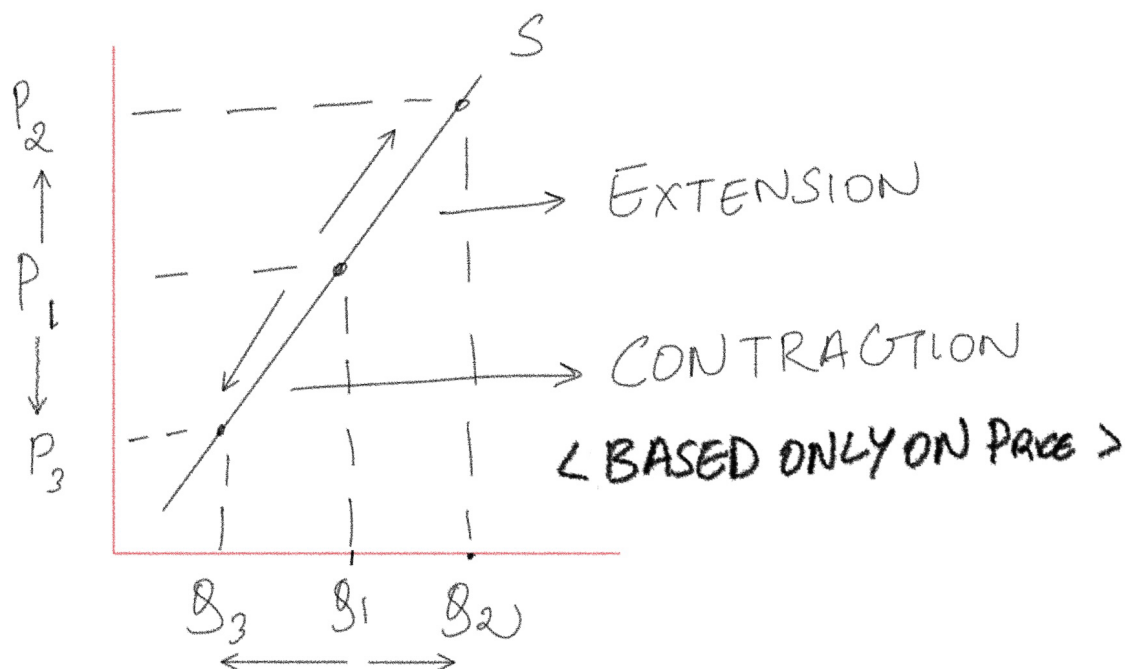
→ 8. Supply

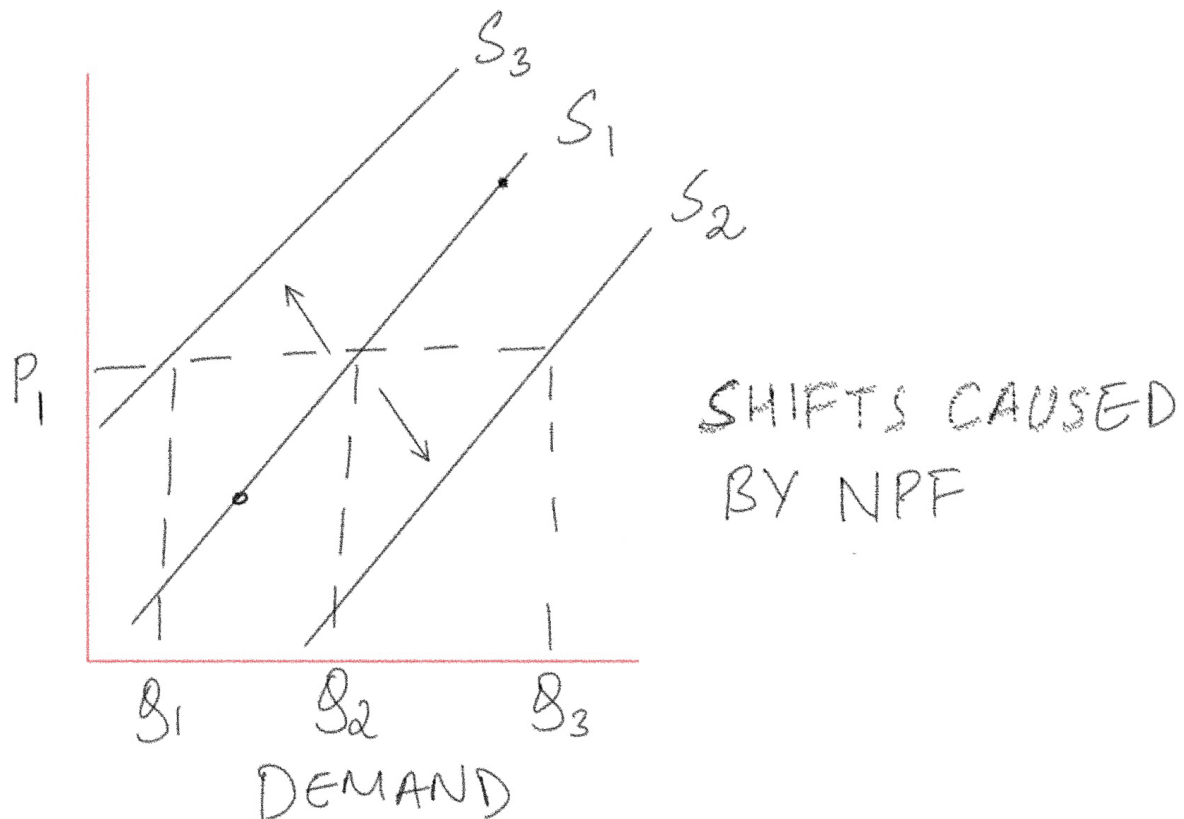
- Supply → Ability and willingness of firms to provide goods and services at given price levels.
- Law of supply : Supply is directly proportional to price



Determinants of Supply (TWO TIPS)

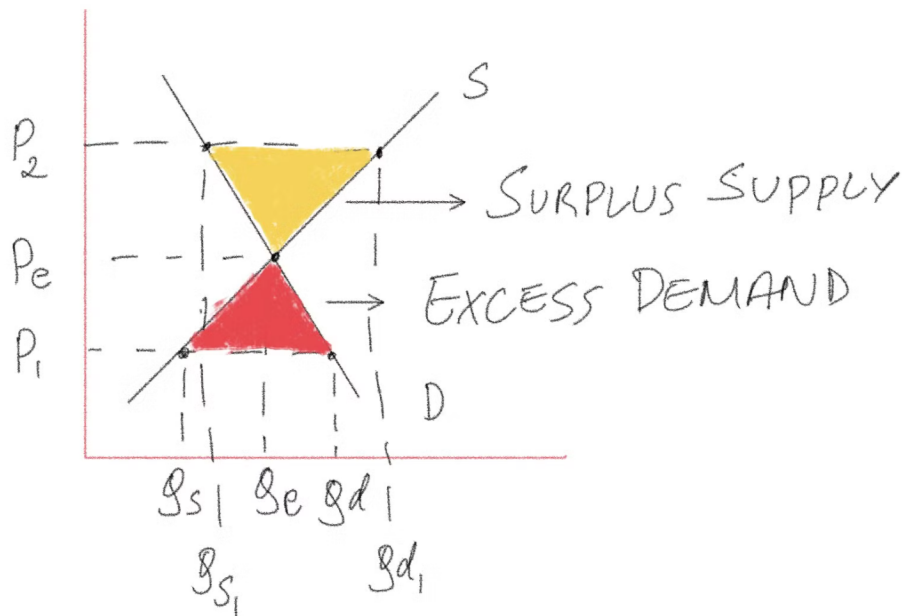
- T : Time
- W : Weather
- O : Opportunity Cost
- T : Taxes
- I : Innovations
- P : Production Cost
- S : Subsidies



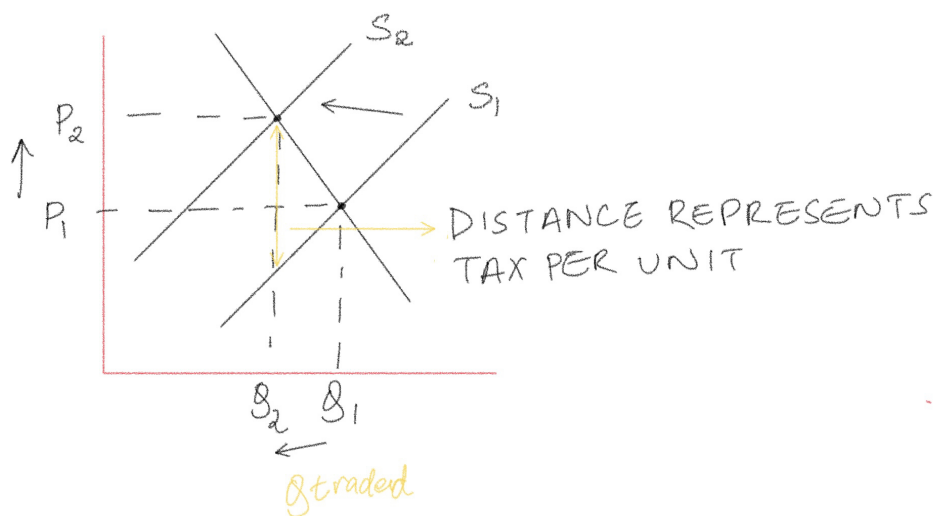


9. Price Determination

- Equilibrium price → Price at which the demand curve for a product and the supply curve for a product intersect, the market is thus cleared
- Excess demand → Market price is below the equilibrium and thus creating a shortage
 - Shortage → Demand exceeds supply due to the price being lower.



→ 10. Price Changes



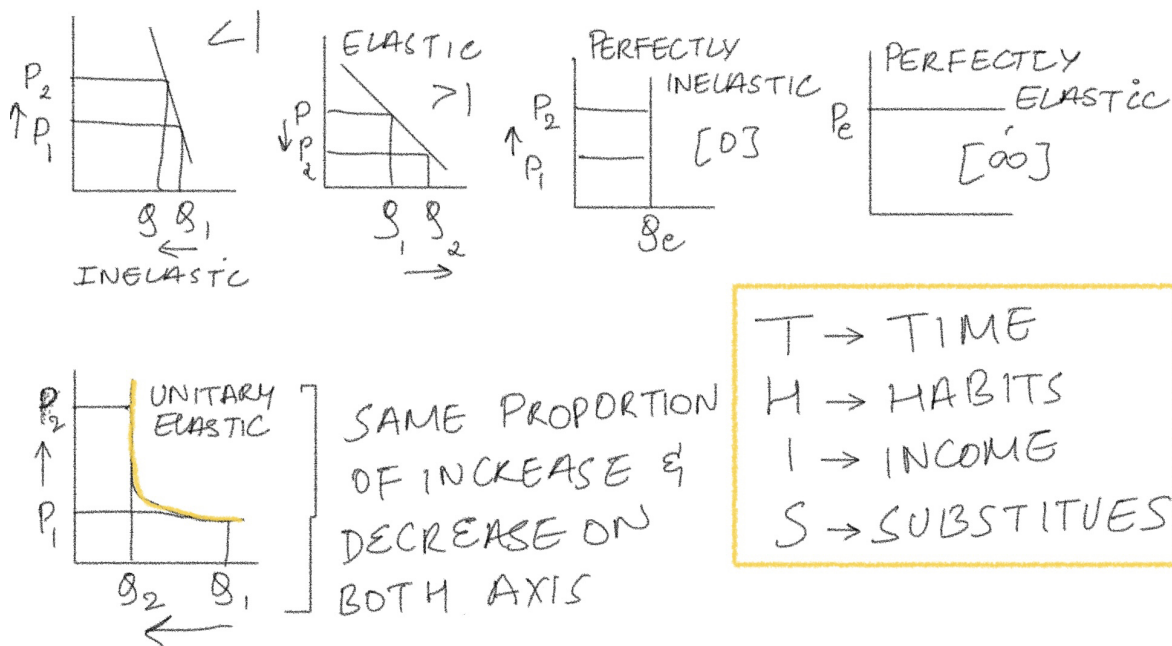
→ 11. Price Elasticity of Demand

- PED → Measures the extent to which demand for a product changes due to a change in its price
- Price inelastic → Unresponsive to change
- Price elastic → Responsive to change

FORMULA FOR PED

$$\frac{\% \Delta Q_d(s)}{\% \Delta P} \left\{ \begin{array}{l} \text{to find the \%s} \\ \frac{N-O}{O} \times 100 \end{array} \right.$$

N → NEW DEMAND
O → OLD DEMAND



T → TIME
H → HABITS
I → INCOME
S → SUBSTITUTES

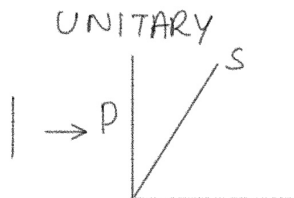
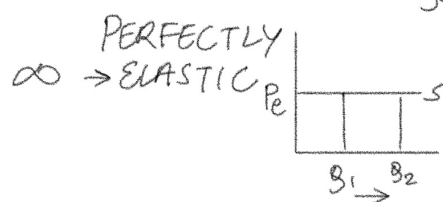
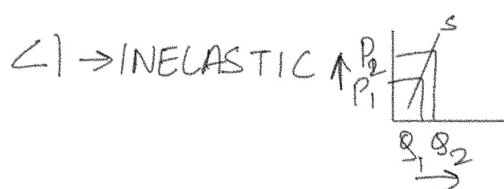
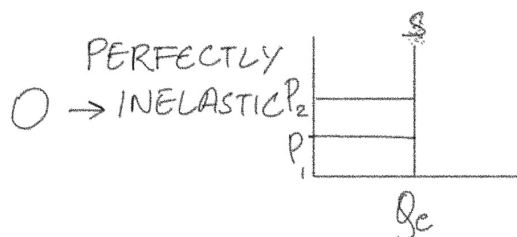
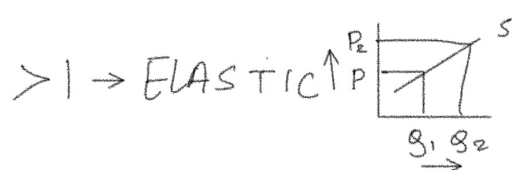
- Price discrimination → When different prices are charged for the same customers

→ Price Elasticity of Supply

- PES → Degree of responsiveness of quantity supplied of a product following a change in its price.

$$\frac{1/\Delta Q_s}{1/\Delta P} \} \text{ FORMULA}$$

PES GRAPHS:



→ SPARE PRODUCTIVE CAPACITY
→ LEVEL OF STOCKS
→ COMPETITION
→ TIME
→ FACTOR SUBSTITUTION

- Uses
 - Creating spare capacity
 - Keeping stocks
 - Technology upgrades
 - Distribution upgrades

→ Market Economic System

- Market Economy → Relies on market forces of D&S to allocate resources, with minimal Government intervention

- Planned Economy → Relies solely on the Government
- Mixed Economy → Combination of planned and market
- Advantages of the ME
 - Efficiency
 - Freedom of choice
 - Incentives
- Disadvantages
 - Income and wealth inequalities
 - Environmental issues
 - Wasteful competition
 - Social Hardship

→ 14. Market Failure

- Market failure → Occurs when the market forces of demand and supply are unsuccessful in allocating resources efficiently
- Private costs → Production and consumption of which the impact is only felt by the consumer
- Private Benefits → Benefits solely enjoyed by the consumer / producer
- External costs → Negative side effects of consumption
- External Benefits → Positive side effects experienced by third parties
- Social Costs → Full costs to a society
- Social Benefits → Full benefits of consumption that includes both external and private
- Factor Immobility
 - Geographical → Difficult to move from one place to another
 - Occupational → Move from one job to another

→ 15. Mixed Economic System

- MES → Combination of both the planned and market systems of economy, where the degree of private sector involvement is determined by the government

- Maximum Price → Occurs when the Government sets a **price below** the market equilibrium
- Minimum Price → Occurs when the Government sets a **price above** the market equilibrium
- Government Intervention to address Market Failures
 - Indirect Taxation → Impact on the Consumer while incidence is on the producer **<often for demerit goods>**
 - Subsidies → Encourage production and consumption of merit goods
 - Rules & Regulation
 - Education → Educate people of the harmful effects of the demerit goods.
- Privatisation & Nationalisation
 - P → Transfer of ownership of assets from the public sector to the private sector
 - N → Purchase of private sector assets by the Government
 - OP COSTS / OVER CONSUMPTION / FREE RIDER ISSUE

Section III

- Money → Any commodity that can be used as a **medium of exchange** for the purchase of goods and services.
 - Cash
 - Bank Deposits
 - Central Bank Reserves
- Characteristics
 - Durability
 - Acceptability
 - Divisibility
 - Uniformity
- Functions of money
 - Medium of Exchange → Way to conduct trade; Means of payment for G&S
 - Measure of Value → Measures the **market value** of different goods and services
 - Store of Value → Hold of purchasing power
 - Standard of Deferred Payment → Means of future payments of debt

- Scarcity
- Portability
- Bartering → Is the act of swapping items in exchange for other items through a process of bargaining and negotiations
- Double Coincidence of Wants → Two people engaged in a transaction must both want what the other person is offering



Functions of central banks

- Overseeing the monetary policy, exchange rates, and interest rates.
- Sole issuer of banknotes & coins
- Government's bank
- Banker's bank
- The lender of last resort
- Commercial banks → Retail bank that provides financial services to its customers



Functions of Commercial Banks

- Accepting Deposits
- Making advances
- Credit creation → Process by which the money supply is increased by making money
- ⇒ Secondary Functions
 - Cheques
 - Additional services
 - Safty deposits
 - Islamic Banking

→ 17. Households

- Disposable Income (DY) → Is the amount of income a person has available to spend on goods and services after compulsory deductions
- Current Expenditure → Money spent on goods and services consumed within a year
- Capital Expenditure → Money spent on goods and services that lasts over 12 months <fixed expenditure, overheads>
- Wealth → Measure through the amount of assets they own, minus liabilities
 - Conspicuous consumption → Buying of G&S for the social status.
- Interest Rates & Borrowing & Spending
 - $\uparrow \text{IR} = \downarrow \text{Spending} + \text{Borrowing}$ [Cost of borrowing is higher] VV



Factors that Influence Spending

- Confidence Levels in the economy
- Inflation
- Age
- Size of Households

Influences on Savings

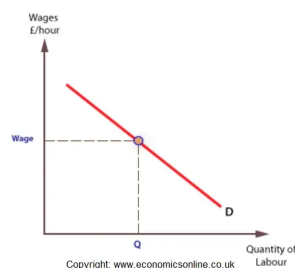
- Age
- Attitude
- Income
- Interest Rates
- Confidence

Influences on Borrowing

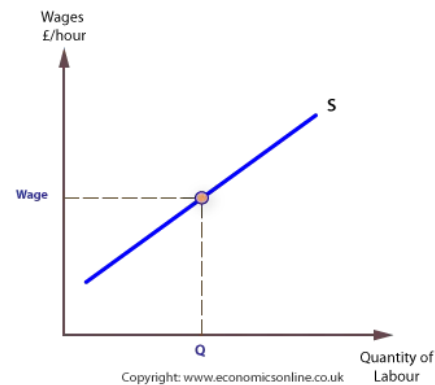
- Interest Rates
- Confidence Levels
- Availability of Funds
- Credit Cards
- Wealth

→ 18. Workers

- Demand for Labour → Number of workers that firms are willing and able to hire at a given wage rate
- Derived Demand → Is not demanded for itself but for the goods and services it is used to produce



- Supply of Labour → Everyone in an economy who is of working age, and is both willing and able to work at different wage rates.



- Backward-bending supply curve → Wage rates rise to a high enough point to allow people to work less and enjoy more leisure
- LF Participation rate
 - Full time & Part-time
 - Women
 - Age distribution
 - Official retirement age
- Determinants of LF Participation Rate
 - Availability and level of Welfare benefits
 - Social attitudes
- Geographical Mobility
 - Family ties
 - Costs of living
- Occupational Mobility
 - Change between jobs ; Costs, Training
- Bargaining power
 - Trade Union Membership
 - Age & Experience
 - Education
- National Minimum Wage → Lowest legal amount any firm must pay
- Differences in earnings
 - Skill

- Danger
- Demand
- Division → Breaking up tasks, Workers are experts at a particular part of the PP
- Specialisation → Workers being experts in a particular profession

→ 19. Trade Unions

- Trade Unions → Is an organisation which aims to protect the interests of its worker members. (terms, conditions of employment, pay)



Employers' Objectives

- Maximise Profits
- Minimise Costs
- Maximise Sales

Employees' Objectives

- Maximise salaries / wages
- Work in a safe and healthy environment
- Have good terms & conditions at work
- Maximise their non-wage benefits
- Job Security

- Types of Trade Unions
 - Craft → Organise workers based on their skills
 - Industrial → Industrywise
 - White Collar → Recruit professional (salaried workers)
 - General Unions → Regardless of the nature of their job / qualifications
- Roles
 - Bargaining
 - Legal Advice
 - Support during redundancies
 - Persuading legislation in favour of the workers
 - Collective Bargaining ⇒ Process of trade union representatives negotiating members with employer representatives for better pay and conditions

- Industrial Action

- Strike
- Work to Rule → Only fulfill the minimum requirements of their jobs / takes up more time / wastage etc.
- Go slow → Completion of work in an inefficient manner
- Sit in → Turn up but no work gets done
- Strengthening of Trade Unions
 - Size
 - Wealth Gap
 - Industrialisation
- Declining Trade Unions
 - Legislation
 - Decline in manufacturing jobs
 - Corporate Social Responsibility
 - Increase in Unemployment

→ 20. Firms

- Classification
 - Primary
 - Secondary
 - Tertiary
- Public Sector → Government / Public goods (Defence, Street Lighting etc)
- Private Sector → Profit Motive
- Size of Firms
 - Employees
 - Market Share
 - Capitalisation
 - Sales revenue of a firm



Neumonics for analysis of small vs big firms

→ C : Capital

→ A : Abilities

→ R : Risk

→ E : Economies (of scale)

- Growth / Aquisitions / & Mergers
 - Merger → When two or more firms agree to join together
 - Horizontal integration → When firms in the same production merge
 - Vertical integration → When firms producing the same type of good merge, but at different levels
 - Forward → A secondary firm merges with a Tertiary firm
 - Backward → A secondary firm merges with a Primary firm
- Economies of Scale (Internal)
 - Purchasing
 - Technical
 - Financial
 - Managerial
- External
 - Proximity to related firms
 - Availability of skilled labour
 - Geographical Area
 - Access to transport networks

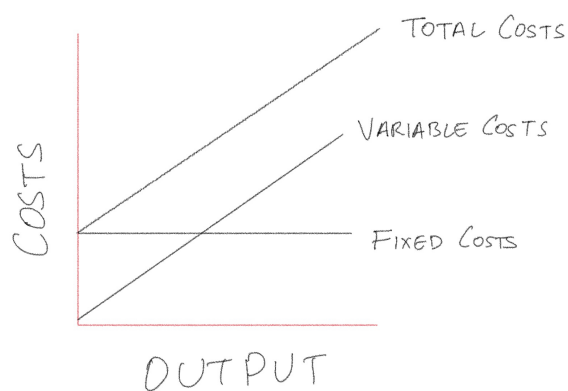
→ 21. Firms & Production

- Quantity demanded depends on
 - Cost
 - Quantity
 - Productivity

- Labour / Capital Intensive
 - Labour Intensive : Use of labour proportionally higher than other means of production (fishing / farming)
 - Longterm → higher costs / lower efficiency
 - Capital Intensive : The use and cost of capital is more prominent than that of any other factor of production
 - Shortterm → higher costs / debt etc <but unit costs go down + economies of scale + COP decreases>
- Production → Total output of goods and services
- Productivity → How well resources are used in the production process
 - Investment
 - Innovation
 - Skills
 - Competition

→ 22. Firms' Costs, Revenue & Objectives

- Costs of production → Payments made by firms in the production process
- Fixed Cost → Overheads, costs that a firm must pay irrespective of output
- Variable Cost → Costs that change with the level of output
- Total Costs → Sum of fixed and total costs
- Average Costs → Fixed cost per unit
- Average Variable Costs → Variable Costs of production per unit of output
- Average Total Costs → Total costs per unit of output



- Objectives of Firms
 - Survival
 - Social Welfare
 - Growth
 - Profit (Maximisation)
- Total Revenue → Is the amount payable to a firm from the sale of its goods and services

- Profit → Positive difference between TR & TC

→ 23. Market Structure

- Market Structure → Key characteristics of a particular market or industry
 <number / size / intensity / competition>
- Barriers to entry → Obstacles that prevent firms from entering a market
- Price takers → In a competitive market, firms that set their prices according to the market price rather than their own choice.
 - Price / Quality / Choice.
- Monopoly Markets → Market structure where there is only one supplier of a good or service
 - Characteristics → Single Supplier / Price Maker / Imperfect Knowledge / High Barriers
- Price Makers → Are firms that set their own prices



Advantages of a Monopoly

- ⇒ Control Market Supply
- ⇒ Financial Resources (econ of scale)
- ⇒ Eliminate wasteful competition

Disadvantages

- ⇒ Inefficient resource allocation
- ⇒ Demand is inelastic
- ⇒ No new firms
- ⇒ Consumers may not make rational choices
- ⇒ Complacency

Section IV

→ 24. The Role of Government

- Local role → Taxes collected used to provide / fund for local services. (Rubbish collection, Streetlighting etc.)
- National role → The central government makes decisions about how to achieve its macroeconomic aims.
 - Fiscal Policy → Decisions on how to raise money through taxation and other sources, and how much of its annual budget is allocated to various requirements
 - Monetary Policy → Central bank or monetary authority to make decisions about interest rates, supply of money, and forex rates to affect demand.
 - Supply-side Policies → measures governments take to increase the availability or affordability of goods and services
- Trading bloc → Is a free trade area which also promotes the free movement of factors of production between member countries.

→ 25. The Macroeconomic Aims of Government.

- Economic growth → Refers to an increase in a country's real gross domestic product (GDP) over a period of time.

- Long term expansion in the productive capacity of the nation.
- PPC Shifts to the right.
- Unemployment → Occurs when people are willing and able to work, and actively seeking employment but are unable to find work. Low unemployment is a key macroeconomic aim.
 - $(UnemployedPpl \div LabourForce) * 100$
- Inflation → Sustained increase in the general price level of an economy over a period of time.
 - Demand-Pull Inflation → When inflation occurs due to demand exceeding available supply (scarcity)
 - Cost-Push Inflation → When inflation occurs due to the rising costs of the FOPs
- Balance of payments stability → Financial record of a country's transactions with the rest of the world for a given time period.
- Redistribution of income → Achieving greater equality in the distribution of income in an economy. (Direct & Indirect taxes)



MACROECONOMIC AIMS

- ⇒ Full Employment
- ⇒ Stable Prices / Low inflation
- ⇒ Low unemployment / High employment
- ⇒ Balance of Payments Stability
- ⇒ Economic growth

$C + I + G + (X - M)$

- ⇒ C - Consumer Expenditure
- ⇒ I - Investment Expenditure
- ⇒ G - Government Expenditure
- ⇒ X - Exports
- ⇒ M - Imports

- Conflicts $<C+I+G+(X-M)>$
 - Employment VS Prices $\rightarrow C\uparrow = \$\uparrow$ $<\text{demand-pull inflation \& cost-push inflation}>$
 - Growth VS BOP Stability $\rightarrow C\uparrow = M\uparrow$ $<\text{increased imports}>$
 - Employment VS BOP Stability $\rightarrow C\uparrow = M\uparrow$ $<\text{increased DY}>$
 - Growth VS Stable Prices $\rightarrow$ If Ir is cut to stimulate economic growth, then $DY\uparrow = \$\uparrow$

→ 23. Fiscal Policy

- Government budget $\rightarrow$ Refers to the **government's financial plans** in terms of **planned revenues and expenditure**. (Tax, Privatisation, Bonds)
- Tax $\rightarrow$ Is a government levy on income or expenditure.
 - Direct taxes $\rightarrow$ **On salaries**, thus help the government reduce the gap, and redistribute income [Income tax, Corporation, Windfall tax]
 - Indirect taxes $\rightarrow$ **Increases cost of production**, thus limits the amount produced. Often for demerit goods.
 - Tariffs $\rightarrow$ Import taxes, to reduce imports, and better the BOP position
- Types of Taxation
 - Progressive $\rightarrow$ Income $\uparrow$ = Tax $\uparrow$
 - Regressive $\rightarrow$ Income $\uparrow$ = Tax $\downarrow$
 - Proportional $\rightarrow$ Percentage remains the same (VAT, GST)



Cannons of Taxation [3E 2C F]

- $\rightarrow$ Equitable
- $\rightarrow$ Economical
- $\rightarrow$ Convenient
- $\rightarrow$ Certain
- $\rightarrow$ Efficient
- $\rightarrow$ Flexible

- Impacts

- Price & Quantity → Price would increase, while quantity would decrease. Since COP increases
- Economic growth → Reduced incentive to work and to produce.
- Inflation → Eases inflation, and Consumer Expenditure ↓
- Taxation can also be used to affect social behaviour and consumption ; eg taxes on alcohol & cigs to reduce consumption
- Tax Avoidance → Is the *legal* act of minimising payment of taxes.
- Tax evasion → Is the *illegal* act of not paying the correct amount of tax, under-declaring, OR not declaring at all.
 - Increased taxation may increase such actions
- Fiscal Policy → Is the use of taxes and government spending to affect macroeconomic objectives such as economic growth.
 - Expansionary :
↓ Taxes + ↑ Govt Spending
 - Contractionary :
↑ Taxes + ↓ Govt Spending
- Effects [If: Tax ↓]
 - Growth → Investment ↑
 - Higher FDI = higher productive capacity.
 - Employment → ↑ as, incentive is higher + COPs are lower thus enabling firms to hire.
 - BOP → Allow domestic firms to be competitive. <can lead to increased M>
 - Redistribution → Would reduce if taxes are lower

→ 27. Monetary Policy

- Money Supply → Refers to the amount of money in the economy at a particular point in time.
- Limitations
 - Time lag
 - Other factors (Confidence..)
- Monetary Policy → Use of interest rates, exchange rates and money supply to control macroeconomic objectives and to affect the level of economic activity.

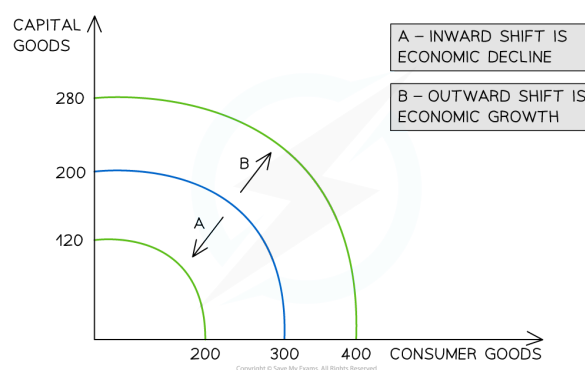
- Expansionary → Decrease I_r + Increase S_m = $\uparrow DY$ = $\uparrow GDP$
- Contractionary → Increase I_r + Decrease S_m
- Repo-rates → Amount banks have to keep with themselves, and thus can't be circulated = Loans = $\downarrow$ Supply of Money (S_m)
- Can be used to discourage savings and encourage spending vice versa.
 - $\uparrow C + \uparrow I + \uparrow G = \uparrow GDP$ [$AD + AS \rightarrow = PPC \rightarrow$]
 - GDP = Gross Domestic Product (Total value of all G&S produced in an economy)
 - AD = Aggregate Demand
 - AS = Aggregate Supply

→ 28. Supply-Side Policy

- Supply-side policies are **long-term measures to increase the productive capacity** of the economy leading to an outward shift in the PPC.

• Policy Measures

- Education & Training
- Labour market reforms
 - Power of trade unions
 - Unemployment benefits
 - National Minimum Wage
- Lower Direct Taxes
- Deregulation
- Incentives to work
- Incentives to invest
- Privatisation



PPC Shifts

Increases in the *quality & quantity* of the FoPs

• Effects

- **Without incurring inflation**, they might increase GDP
- Training etc would increase employment

- Productivity and national output ↑
thus, exports can ↑ thus CA
position is better.
- Better education can lead to better
DY in the future.

→ 29. Economic Growth

- Economic growth → Annual increase in the level of national output. Annual $\Delta\%$ GDP.
- GDP → Monetary value of goods and services produce within a country for a given period of time
- Types
 - Nominal GDP → Measures the monetary value of G & S produced in a country over a period of time
 - Real GDP → Referes to the value of GDP that is adjusted for inflation. Reflects the true value of goods and services produced in a year
 - GDP Per Capita → Measures the GDP divided by its population size.
- Parts of the GDP

$$C + I + G + (X - M)$$
 - Consumption Expenditure → Total spending by households
 - Investment Expenditure → Capital spending of firms, used to increase production & productive capacity.
 - Government → Total investment expenditure of the government (Roads, railways etc)
 - Export earnings → Monetary value of all the goods & services exported.
 - Import expenditure → Monetary value of all payments for imports.
- Business cycle → Fluctuations in the economic activity of a country over time. Creating a long term trend of economic growth in the economy.

- Recession → Fall in the GDP for two consecutive quarters
 1. National output (**Real GDP**) falls
 2. More firms go bankrupt
 3. Both unemployment & **underemployment** increase
 4. Both exports & imports fall
 5. Domestic & foreign **investment** by firms decreases/stops
 6. **Deflation** may become an issue leading to even lower wage levels
 7. Government spending on unemployment benefits increase
 8. Opportunities for entrants to the workforce decrease (youth unemployment increases)
 9. Governments may have to spend significant amounts of money to support the economy which carries several major **opportunity costs**

→ 30. Employment & Unemployment

- Employment → Refers to the economic use of labour as a factor of production
- Unemployment → Occurs when people of working age are both willing and able to work but cannot find employment.
- Full employment → Means that everyone in a country who is willing and able to work has a job.
- Patterns of employment
 - Delayed entry to the workforce
 - ageing population
 - formal sector employment → Refers to the **officially recorded employment** where workers pay income taxes and contribute to the GDP
 - Female participation rate → Measures the **proportion of women who are active in the labour force**.
- Claimant count → Number of people who are claiming unemployment benefits

- Labour force survey → ILO's standardised household based survey to collect work-related statistics.
- Unemployment rate → Proportion of the country's workforce that is unemployed
 - $(\text{Number Employed} / \text{Workforce}) * 100$
- Causes and Types
 - Frictional → Change jobs, time delay between end and start
 - Structural → Demand for a product continually falls (often foreign competition)
 - Cyclical → Lack of demand causes a fall in national income.

→ 31. Inflation & Deflation

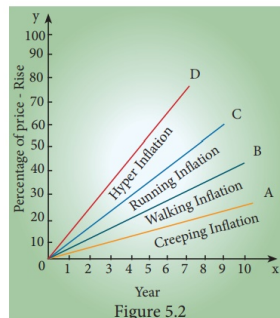
- Inflation → Increase in the general price level of the economy over a period of time.
- Hyperinflation → Very high rates of inflation that are out of control causing average prices in the economy to rise very rapidly
- Deflation → Sustained fall in the GPL over a period of time.
 - Benign deflation → Isn't threatening
 - Malign deflation → Harmful to the economy

- CPI → Weighted index of consumer prices in the economy over time, it is used to measure the cost of living for an average household.

$$\text{CPI} = \frac{\text{Cost of basket in year X}}{\text{Cost of basket in base year}} \times 100$$

- Base year → Starting year when calculating a CPI.
- Causes
 - Cost-push inflation → Triggered by higher costs of production
- Consequences
 - Menu Costs → Prices charges by firms
 - Consumers → PP goes down

- Demand-pull inflation → Higher levels of AD thus driving up the GPL
- Imported inflation → Higher import costs = domestic inflation.
- Theories
 - Wage-price Spiral
 - Galloping, Running, Walking, Creeping.
- Shoe leather costs → Searching for best deals
- Savers → Lost value of money
- Lenders → Lost value of money.
- Borrowers → Worth less, thus pay back less
- Fixed income earners → Lost out ↓ Real income.
 - Harms the poorest
- Exporters → Face reduced demand cause ↑ Prices
- Importers → Expensive since purchasing power ↓



- Deflation
 - Unemployment
 - Bankruptcies
 - Wealth effects → Profits fall
 - Debt effect
 - Government Debt.

Section V

→ 32. Living Standards

- Standard of Living → Refers to the social and economic wellbeing of individuals in a country at a particular point in time.

- Human Development Index (HDI) → Composite indicator of living standards in a country, comprising three dimensions of human development: Education, Healthcare, Income.
- Healthcare → Indicator measures the life expectancy at birth. The better the healthcare, the greater its social and economic wellbeing tends to be.
- Education → Mean years of schooling and the expected years of schooling in the country. (In general) The higher the average years of schooling the greater the degree of human development.
- Income Levels → The higher the national income (GDP) of a country, the greater human development tends to be. Hence poor countries such as Mozambique, Afghanistan, tend to have a LOW HDI, and vice versa.

→ DISADVANTAGES

- Qualitative Factors → HDI ignored qualitative factors, like gender inequalities, and human rights
- Income distribution → HDI doesn't take account of inequitable distribution of income.

→ Living Standards VS Income Distribution

- Productivity levels → Differences in productivity levels cause differences in wages and earnings. Skilled labour leads to better pay.
- Role of governments → Can use direct taxes to redistribute income in the economy, mixed economies may do better than market economies.
- Size of population → The size and demographics have a direct impact on living standards. Eg: GDP per capita, rent, supply of labour.
- Distribution of national income → Higher the population the lower the national income (eg: India) despite the GDP being huge.
- Regional differences → Regional wealth & income disparities, based on development of the region etc. Eg: Paris vs Lille.
- General Price Level → Cost of living rises, which may decrease the standards of living as things become more expensive.
(Eg: Venezuela, Zimbabwe, Weimar Republic)
- Level of Freedom → Civil liberties, political rights, religious freedom, and economic rights.

→ 33. Poverty

- Poverty → is a condition that exists when people **lack adequate income and wealth to sustain a basic standard of living**

hunger and malnutrition

ill health

lack of education

homelessness

unsafe environment

social discrimination

- Absolute poverty → Exists when there is **extreme outright poverty**- income equal to or less than \$1.25.
- Relative poverty → **comparative measure** of poverty referring to those who have a **lower standard of living in comparison** to an average member of society

→ Causes of Poverty

- Unemployment → people in poverty are likely to be unemployed due to **low literacy, lack of skills and poor health which means labour productivity is low** in less economically developed countries.
- Low wages → **Lower the GDP per capita, poorer the country is.** this leads to a **high proportion of unskilled workers** which limits consumption and investment
- Illness → **caused by malnutrition and poor healthcare reduces life expectancy in a country.** the lower the life expectancy, the poorer the country is the greater the degree of poverty
- Age → For example a **cause of child labour is poverty**, as the parents **can't afford enough to sustain the family thus they make the children work to earn as well.** People may live longer, but there are no means to support their lives.
- Poor healthcare → When **countries are unable to pay for the population's healthcare**, poverty can increase as more people would be unable to work due to illness etc.

- Low literacy rates → Proportion of the population aged 15+ who can read and write. Low education and training leads to low literacy rates, which can keep people in poverty due to low-paying unskilled or manual labour jobs.
- High population growth → Measures the annual percentage change in the population of a country. LEDC's tend to have poor accses to contraception, sex education, and family planning which is why they tend to have many children, children may also be made to work, thus earning the family revenue [this continues the cycle]
- Poor infrastructure → Transportation, communations, networks for efficient functioning isn't available. This could lead people to lack accses to basic items water, electricity etc.
- Low FDI → Lack of capital resources limits the ability of a country to create income and wealth to sustain the population.
- High public debt → Money owed by the governement (public sector) to finance their public sector expenditure. Due to the need to repay the loans the Governments may not have money for other developments required. [Eg: Sri Lanka, Pakistan → Loans from 🇺🇸 & IMF]
- Reliance on primary sector → Low paying goods, and are seasonal thus may not be able to sustain the populus.
- Curroption and Instability → Opportunity costs + Bad income inequalities.

→ Alleviation of Poverty.

- Promotion of Economic Growth → Expansionary Policies [Fiscal, Monetary]
Encourage consumer spending [C] & Investment expenditure [I] = More jobs and possibly alleviate poverty. $[C+I+G+(X-M)]$ Also; Low Exchange rates = ⬆FDI, ⬆Exports → Sustained Econ Growth = Wealth.
- Improving Education → Improved accses to education ➡ more skilled labour, thus better income ➡ lower gap between rich & poor. Quality of labour in an economy is better now ➡ improved productive capacity ➡ economic growth.
- State Benefits → UBI, Pensions, Child Benefits: To ensure that everyone has adequate money for required expenditure. Government funded retraining and job schemes as well. [However: Could cause laziness, thus people would not actively search for a job.]

- Progressive taxation → Reduce the gap between the rich and poor members. Higher income = Higher tax. [Disincentivises people from earning more as they would have to pay more tax]
- NMW → Improved income [DY] for low income houses.

→ 34 Population

- Population → Total number of inhabitants of a particular country
- Population growth → Rate of change in the size of a country's population.
- Birth rate → Measures the number of live births per thousand of the population in a year.
- Fertility rate → Measures the average number of births per woman. It is used as a component to measure population growth
- Replacement fertility rate → The number of children that the average woman must have to maintain a stable population size.
- Death rate → Measures the number of deaths per thousand of the population in a year
- Net migration rate → Measures the difference between immigration and emigration rates for a country, thus indicating the physical movement of people into and out of a country.

[Immigration-Emigration]

- Optimum population → Exists when the output of goods and services per head of the population is maximised.
- Population distribution → Refers to the composition and structure of a country's population.
- Demographics → Is the study of population distribution and trends.
- Population pyramids are a graphical representation of the age and gender distribution of a country's population.
- Dependency ratio → Comparison of the number of people who are not in the labour force with the number of people in active paid employment.
- Working population → Refers to the active labour force aged 15-65, those who are willing and able to work. Consists of those in self-employment and those who are unemployed. [Labour Force]

→ Effects of the population distribution

- Consumers → Demand for goods and services changes with variations in population trends. (Eg: Based on Age, Gender, Race)
- Firms → Demand and supply of labour will change following long term changes in population trends. Rapid population growth will increase the future supply of labour (LRAS / LRAD)
 - LRAS → Long Run Aggregate Supply
 - LRAD → Long Run Aggregate Demand
- Government → Growing population means that they would get more tax revenue [G], might also mean increased pressure on resources, like provision of public goods, welfare benefits etc.
- The Economy → Growth can put pressure on the economy's scarce resources ➡ inflationary pressures [demand pull inflation] May not be able to meet the needs and wants of the population, shortages etc.
- Natural Environment → Non renewable resources would be depleted quicker, and production would have to be increased. Pollution of the air, water and land could also increase with increased population + production.

→ 35 Differences in Economic Development

→ Differences in Sectors

- Primary → Extraction of raw materials, employment includes agriculture, fishing, mining, oil exploration. LEDCs mainly have primary dominant economies.
- Secondary → Manufacturing, use of natural resources to make man made resources. Developing countries like India tend to have a lot of such industries due to recent industrialisation.
- Tertiary → Provision of services, these are completely skilled labour jobs, and thus tend to be the most well paying. This tends to be the most important in high income economies.

→ Differences [Savings, Education, Healthcare]

- Savings → LEDCs may tend to save lesser proportion of their income, due to it being very less. It would get spent on current expenditure, they may

also have to borrow. Largest proportion towards necessities, and the lowest towards luxuries.

- Education → Greater proportion of education = higher standards of living.
- Healthcare → Life expectancy at birth. Annual expenditure on healthcare as a % of its GDP. Child mortality rates (<5 years)

Section VI

→ 36 International Specialisation

- International Specialisation → When countries concentrate on the production of certain goods or services due to their abundance of resources. [Bangladesh & India → Textiles]



Advantages

- Efficiency gains : Better use of scarce resources
- Labour Productivity : Workers become better skilled in the jobs, thus output can increase.
- Increased Productive Capacity : PPC shifts to the right.
- Economies of scale : If a nation has a large quantity of x good then they can lower COPs and thus produce goods more efficiently

Disadvantages

- Overspecialisation : Regional & structural unemployment, high risks. [EG: Coal production collapse in the U.K]
- Lack of consumer choice : Standardised mass produced goods, may look at foreign alternatives. Thus reducing competitiveness
- High Labour turnover : Due to it being so boring
- Low mobility : Low skilled and poorly paid workers lack the skill to move around
- High costs : Specialisation leads to higher salaries of the workers.

→ 37 Globalisation

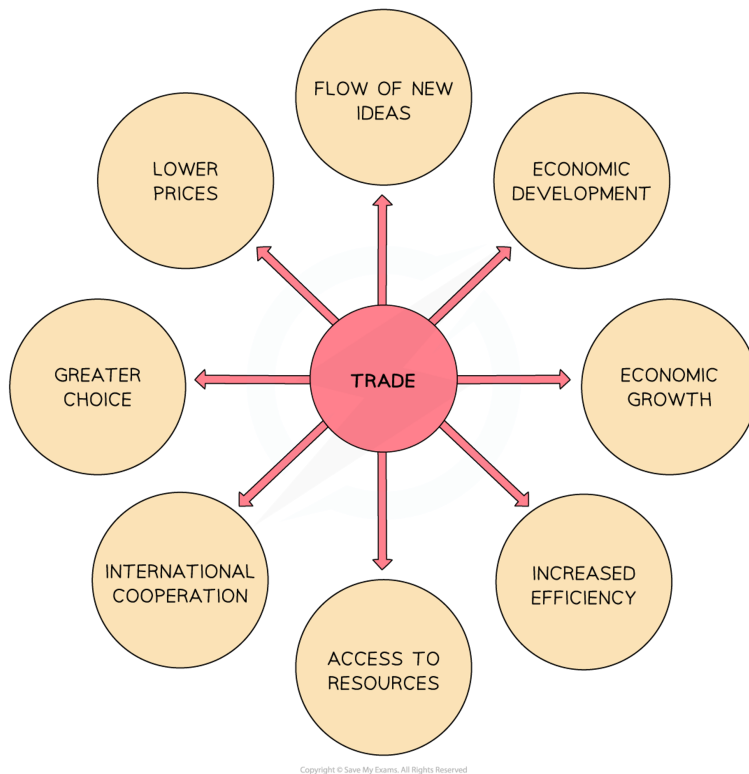
- Globalisation → Is the economic integration of different countries through increasing freedoms in the cross-border movement of people, goods/services, technology & finance
- Multinational Corporation (MNC) → Is an organisation that operates in two or more countries. [Apple, Coca-Cola, Samsung]

→ Advantages

- Job Creation → Improve standards of living [DY...]
- Economies of Scale → Large scale operations, and lower labour costs, and per unit costs overall due to setting up in other countries
- Profit → Increased customer base, profits may be repatriated [Else may go to offshore accounts]
- Spread Risks → Favourable conditions in one nation, to off put worse conditions else where (MCD is able to stay profitable despite the situation in Russia since they have many stores worldwide)
- Avoid trade restrictions + Accses to new over seas markets

→ Disadvantages

- Unethicality
- Competiton to local firms
- Exploitation of governments
- Diseconomies of scale → Time zones, legal issues, communication problems
- Exchange rate fluctuations → Can change costs and revenues.
- Culture & Trends → May be at a disadvantage if they sell goods that aren't liked in other countries
- International Trade → Refers to the change of goods and services beyond national borders
- Free trade → International trade takes place without protectionist measures (Embargoes, Quotas, Taxes)



Benefits of Free Trade

- Protection → Refers to the use of trade barriers to restrain foreign trade thereby limiting overseas competition
- Tariff → Tax on imports which increases production costs for firms.
 - Tax Revenue : Government
 - Higher Costs : FIRMS & CONSUMER
 - AD SHIFTS LEFT
- Import Quota → Quantitative limit on the sale of a foreign good
- Subsidies → Form of government financial assistance to help cut production costs of domestic firms, enabling them to compete against foreign producers
- Embargo → Ban on trade with a certain country.



FOR PROTECTION

- Infant industries : Small Companies etc
- Domestic jobs
- Dumping
- Government revenue
- BOP deficit (to overcome)
- Strategic → Reduce dependancy



AGAINST PROTECTION

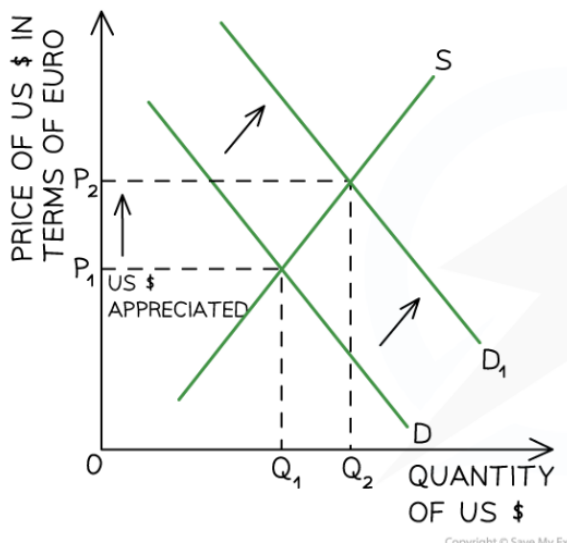
- Distortion of market symbols → Misallocation of rccs
- Increased COPs
- Retaliation

→ 38 Foreign Exchange Rates

- Exchange rate → Refers to the price of one currency measured in terms of other currencies. [£1=100inr]
- It is a part of the monetary policy, and is enacted by the Central Bank [RBI, BoE, Federal Reserve]
- Foreign exchange market → Market place where different currencies can be bought and sold
- Appreciation → Increase in value relative to another currency in the floating exchange rate system
- Depreciation → Fall in value relative to another currency in the floating exchange rate system
- General Over View of Theory :
 - If £⬆️ then imports become cheaper & exports less competitive (for other countries)
 - If £⬇️ then imports become expensive & exports become more competitive.

- $\text{£} \uparrow = X \uparrow + M \uparrow$

- Floating exchange rates → Means that the currency is allowed to fluctuate against other currencies according to the market forces, without any intervention. [India, U.S.A]



$D \rightarrow D_1 = P_1 \rightarrow P_2$; Based on demand the price of \$ in € has increased

- Fixed exchange rates → The Government intervenes in foreign exchange markets to maintain the rate at a predetermined level [PEG]

<Peg parity is when one is to one, eg if: \$1=£1>

- Devaluation → Price of currency operating in a fixed exchange system is lowered
- Revaluation → Price of currency operating in a fixed exchange system is increased



Causes & Consequences

- Changes in demand for exports / imports
- GPL & Inflation
- FDI
- Speculation → Variations in exchange rates for profit

<Hot money 🤖>

- Government intervention

Consequences of fluctuation

- Customers → Purchasing power ⬆️
- Exporters and Importers
- BOP → Appreciation =
⬇️ (Vice Versa)
- Employment
- Inflation → Lower spending = lower inflation
- Econ growth = ⬆️£ = ⬇️📉

Coping

- Cutting export prices
- Alternative suppliers
- Improved efficiency
- Focus on inelastic goods

→ 39 Current Account BOP

- Balance of payments (BOP) → Financial record of a country's transactions with the rest of the world for a given time period
- Current account → Records of exports and imports of goods and services + net income transfers



Parts of the BOP

→ Trade

→ Visible [Exports - Imports]

<Goods>

→ Invisible [X - M]

<Services>

→ Primary Income

→ Net income from investments abroad

→ Profits earned by subsidising an overseas firm

→ Money sent home from people working abroad

→ Secondary Income

→ Net income transfers

→ Donations to charities abroad

→ Foreign aid

→ Subsidies or grants

Current Accounts = Balance of Trade + Primary Income + Secondary Income

Component	2017
A. Net trade in goods (exports - imports)	£-32.9bn
B. Net trade in services (exports - imports)	£27.9bn
C. Sub-total trade in goods/services (A+B)	£-5bn
D. Net income (interest, profits & dividends)	£-2.1bn
E. Current transfers	£-3.6bn
Total Current Account Balance (C+D+E)	£-10.7bn
Current Account as a % of GDP	3.7%

- Defecit BOP → Spending > Income (More imports)
 - Lower demand for exports <too expensive, bad quality, protection>
 - Higher demand for import domestically
- Surplus BOP → Spending < Income (More exports)
- Consequences of Defecits
 - Reduced demand

- Unemployment → Cyclical + Wage cuts
- Lower standard of living
- Increased borrowing
- Lower exchange rate.
- Consequences of Surpluses
 - Employment → Due to higher exports creating jobs
 - Standards of living → Higher income thus can create better SoL
 - Inflationary pressures → Higher demand for exports can lead to Demand-pull Inflation ∴ They may diminish international competitiveness
 - Higher exchange rates → Imports become cheaper (Dutch Diseases)



BOP Stability

- Fiscal pol → Increase Taxes = Reduced spending on imports
- Monetary pol → Increase i_r = Reduced spending on imports
- Supply side pol → Increase productive capacity (Education wagherah)
- Protectionist measures

- Expenditure switching policies 🔄 [Protection]
- Expenditure reducing policies ⬇️ [Monpol, Fispol]

→ L3MONO



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